

INCOME FROM BUSINESS / PROFESSION

1.

Mr. Gupta who is running a factory since 2013, purchased a machine on 30-11-2023 for ₹ 2,00,000 and spent ₹ 24,000 on its installation. It was used for his own business till 1-5-2024 on which date he sold it for ₹ 1,20,000. He repurchased it on 1-10-2024 for ₹ 3,20,000. Determine the actual cost and depreciation admissible for the year ending 31-3-2025. Rate of depreciation is 15% in the previous year 2023-24 and 2024-25 under old tax regime.

2.

WDV of block of P & M on 1-4-2024 was ₹ 5,95,000. During the year 2024-25 a new item costing ₹ 1,50,000 was acquired in May, 2024 and an item was sold on 15-9-2024 for ₹ 79,000. Calculate the WDV of this block of assets and calculate the depreciation @ 15% in relation to assessment year 2025-26 under new tax regime.

3.

Calculate depreciation which can be debited to P. & L. A/c for the year ending on 31-3-2025 under old tax regime.

Sr. No.	Particulars	WDV on 1-4-2024	Additions during the year	Money realised on assets destroyed	Rate of Dep.
1.	Factory Building	3,50,000	1,00,000	60,000	10%
2.	Residential Houses for employees : plinth area of each unit not exceeding 80 sq. metres	10,00,000	5,00,000	—	5%
3.	Furniture & Fittings	15,000	5,000	—	10%
4.	(a) Plant & Machinery	20,40,000	6,50,000	2,70,000	15%
	(b) Air compressor	—	32,000	—	15%
	(c) Solar power generator	—	1,50,000	—	40%
5.	Cost of 2 calculators purchased @ ₹ 4,000 per calculator	—	8,000	—	15%

A 'block of assets' consists of 5 machines. W.D.V. of all machines as on 1.4.2024 is ₹ 1,80,000. Rate of depreciation is 15%. A new machine costing ₹ 1,60,000 was acquired in March 2024 but actually put into use only on 10.10.2024. 2 (Two) old machines are also sold for ₹ 3,20,000 in December 2024. Determine the amount of depreciation for the assessment year 2025-26 under old tax regime.

4.

*M/s A & Bros. have following assets on 1-4-2024 :

Sr. No.	Assets	WDV on 1-4-2024	Additions during the year	Scrap value of asset put out of use during the year	Rate of depreciation
1.	Plant & Machinery	₹ 42,20,000	₹ 6,90,000	₹ 2,10,000	15%
2.	Aircraft	34,50,000	—	—	40%
3.	Motor Buses & Lorries (used for hiring)	6,40,000	2,80,000	4,15,000	30%
4.	Imported car	NIL	3,60,000	—	15%
5.	Patent Rights	NIL	8,00,000	NIL	25%
6.	Technical Know-how	NIL	6,00,000	NIL	25%

Calculate the amount of depreciation which firm can claim for the assessment year 2025-26 under new tax regime and also calculate the WDV on 1-4-2025. New Bus was brought into use from 1-12-2024, Plant and Machinery on 1-7-2024 and Patent Rights and Technical Know-how on 1-11-2024 and imported car on 1-6-2024.

5.

A new industrial undertaking set up on 1-4-2024 has acquired following assets as per dates mentioned against each :

Asset	Date of acquisition	Date of use	Cost (₹)	Rate of dep.
Machinery	31-3-2024	5-9-2024	6,00,000	15%
Electric Motor	1-7-2024	1-10-2024	78,000	15%
Plant	12-11-2024	15-12-2024	12,00,000	15%

Calculate amount of admissible depreciation and written down value as on 1-4-2025 under old tax regime.

1. Add expenses claimed but not allowed under the Act

(i) All provisions and reserves (Reserve for bad debts/Depreciation/Income Tax etc.) except creation of reserve by financial corporations u/s 36	—
(ii) All taxes (i.e., Income Tax, Advance Income Tax, Wealth Tax etc.) except Sales Tax, Excise duty and Local taxes of premises used for business	—
(iii) Rent paid to self	—
(iv) All capital expenses except on scientific research	—
(v) All capital losses	—
(vi) All charities and donations	—
(vii) All expenses relating to other heads of income (e.g., Taxes on house property etc.)	—
(viii) Cultivation expenses	—
(ix) Any interest on capital unless the amount is borrowed	—
(x) All personal expenses (Drawing etc.)	—
(xi) Any depreciation if wrongly debited	—
(xii) Gifts and presents (Non-advertisement)	—
(xiii) Any type of fine or penalty	—
(xiv) Any payment to a partner (In case of firms only by way of salary, interest, bonus, commission or remuneration excess over prescribed limits)	—
(xv) Any salary or interest payable outside India unless tax is deducted at source or is paid according to the law	—
(xvi) Past losses (i.e., loss of the past years)	—
(xvii) Any other expenditure which is not incurred according to the provisions of law,	—
(xviii) Salary paid to self or any other member of family for casual help	—
(xix) Personal life insurance premiums	—
(xx) Any amount invested in savings such as NSS, NSC, PPF etc.	—
(xxi) Rent for residential portion	—

<i>Balance as per P and L A/c</i>	<i>Profit (+) Loss (-)</i>	<i>INCOME TAX Amount</i>
(xxii) Speculation loss	—	
(xxiii) Bad Debt still recoverable	—	
(xxiv) Legal expenses on criminal case; or a personal case of employee	—	
(xxv) Legal expenses on acquiring an asset	—	
(xxvi) Legal expenses on curing title of asset	—	
(xxvii) Loss by theft from residence	—	
(xxviii) Expenses on illegal business	—	
(xxix) Employer's contribution to unrecognised provident fund	—	
(xxx) Difference in trial balance	—	
(xxxi) Difference due to under crediting of stock	—	
(xxxii) Cost of Patent rights being capital expenditure	—	
(xxxiii) Cost of Technical know-how being capital expenditure	—	
(xxxiv) Preliminary expenses being capital expenses.	—	
Total of these items is added in the profit or is adjusted out of the loss	—	
	<u>A</u>	

II. Deduct [out of the amount arrived at (A) above] any expenditure which is allowable under the Act, but has not been debited to P and L A/c :

(i) Actual bad debts (not charged in P and L A/c)	—
(ii) Depreciation (-do-)	—
(iii) Any other expenditure incurred according to provision of law	—
(iv) Difference due to under debiting of stock	(-)

Total of these is deducted from (A) above and we get

(B)

III. Deduct out of the amount arrived at (B) above any income which is either exempt or not taxable under this head :

- (a) *Incomes exempted from tax*
- (i) Post office saving bank interest
 - (ii) Agricultural receipts
 - (iii) Gifts from relatives
 - (iv) Income-tax refund
 - (v) Bad debt recovered—disallowed earlier
 - (vi) Life Insurance Maturity Amount
 - (vii) Any capital receipt
 - (viii) Withdrawal from PPF
- (b) *Incomes taxable under other heads*
- (i) Part-time salary
 - (ii) Interest on Securities
 - (iii) Rent from House property Let
 - (iv) Capital gains
 - (v) Dividend, Bank Interest, winnings from Lotteries, race course etc.

Total of these is deducted from (B) above and we get taxable profit from the business.

Add: Income from any other business (legal or illegal) to get income taxable under the head Profits & Gains of Business or Profession.

Computation of Professional Income

The above-mentioned method is not suitable to compute professional income because professional persons usually do not prepare profit and loss account. They prepare Income and Expenditure Account of Receipts and Payment Account. To compute the professional income, it is easier to take professional receipts of the previous year and deduct out of these the professional expenses incurred during that year.

The following illustration can help a person to compute the personal income of an assessee.

In case of Doctor or Medical Practitioner

	Amount	
Professional Receipts		
(i) Consultation fees	—	
(ii) Operation fees	—	
(iii) Visiting fees	—	
(iv) Sale of medicines	—	
(v) Gift from patients (because these are received as token of gratitude for professional services rendered)	—	
(vi) Value of any perquisite received by such person	—	
(vii) Examiner's fees	—	
(viii) Nursing home receipts	—	
(ix) Any other professional receipt	—	
Total Receipts		
Less: Professional Expenses		
(i) Dispensary Expenses (i.e., rent, light, water charges, salary to staff, telephone expenses etc.)	—	
(ii) Cost of Medicines		
(a) If accounts are maintained on cash basis :		
Cost of actual medicines purchased during in previous year		
(b) If accounts are maintained on mercantile basis :		
Opening stock + New purchases – Closing stock		
(iii) Depreciation on Surgical Equipment and X-ray Machines, etc., at prescribed rates	—	
(iv) Cost of books for professional purposes	—	
(v) Motor car expenses: depreciation relating to professional work	—	
(vi) Expenditure incurred to increase professional knowledge	—	
(vii) Nursing home expenses	—	
(viii) Any other expenditure incurred during the year	—	—
Professional Income	—	—

In case of Chartered Accountant

	₹	Amount
Professional Receipts		
(i) Audit fees	—	
(ii) Income from accountancy work	—	
(iii) Institute fees	—	
(iv) Examiner's fees	—	
(v) Gifts from clients, if any	—	
(vi) Consultancy Services	—	

Balance as per P and L A/c

*Profit (+)
Loss (-)*

*₹
Amount*

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(vii) Examiner's fees	—
(viii) Nursing home receipts	—
(ix) Any other professional receipt	—
Total Receipts	

Less : Professional Expenses

(i) Dispensary Expenses (i.e., rent, light, water charges, salary to staff, telephone expenses etc.)	—
(ii) Cost of Medicines	
(a) If accounts are maintained on cash basis :	
Cost of actual medicines purchased during in previous year	
(b) If accounts are maintained on mercantile basis :	
Opening stock + New purchases – Closing stock	
(iii) Depreciation on Surgical Equipment and X-ray Machines, etc., at prescribed rates	—
(iv) Cost of books for professional purposes	—
(v) Motor car expenses: depreciation relating to professional work	—
(vi) Expenditure incurred to increase professional knowledge	—
(vii) Nursing home expenses	—
(viii) Any other expenditure incurred during the year	—
Professional Income	—

In case of Chartered Accountant

Professional Receipts

	₹	Amount
(i) Audit fees	—	
(ii) Income from accountancy work	—	
(iii) Institute fees	—	
(iv) Examiner's fees	—	
(v) Gifts from clients, if any	—	
(vi) Consultancy Services	—	

<i>Balance as per P and L A/c</i>	<i>Profit (+) Loss (-)</i>	<i>₹ Amount</i>
(vii) Any other receipt	—	—
Total Professional Receipts	—	—
Less : Professional Expenditure		
(i) Office expenses	—	
(ii) Institute expenses	—	
(iii) Cost of books	—	
(iv) Motor car expenses relating to professional work	—	
(v) Membership fees	—	
(vi) Depreciation on office equipment, car or scooter etc.	—	
(vii) Any other expenditure incurred to increase professional knowledge	—	
(viii) Stipend to trainees	—	
(ix) Subscriptions	—	
(x) Dep. on office furniture	—	
Total Professional expenses	—	(-)
Professional Income		—
Income of a Lawyer or an Advocate		
Professional Receipts		
(i) Practicing fees	—	
(ii) Legal fees	—	
(iii) Special commission	—	
(iv) Presents from clients	—	
(v) Examiner's fees	—	
(vi) Any other receipt	—	
Total Professional Receipts	—	—
Less : Professional Expenses		
(i) Office expenses	—	
(ii) Salary of staff, if any	—	
(iii) Cost of books for professional purposes	—	
(iv) Depreciation of office equipment	—	
(v) Expenditure incurred to increase professional knowledge	—	
(vi) Subscription	—	
(vii) Purchase of stamp paper and court fee	—	
(viii) Travelling expenses	—	
Total Professional Expenses	(-)	x x x
Professional Gain		x x x

6.

<i>Mr. Rawat gives you the following particulars from his accounts for the year ended 31-3-2025:</i>	
Net profit as per P & L account (without charging the following items)	₹ 2,75,000
Expenditure on family planning	45,000
Lump sum consideration for purchase of technical know-how developed in government laboratory	90,000
Entertainment Expenditure	30,000
Expenditure on acquisition of patent right	84,000
Expenditure on advertisement paid in cash	8,000
Provision for GST	45,000
(He paid ₹ 20,000 on 27-6-2025 and ₹ 7,000 on 10-11-2025 Due date of filing of return is 31-7-2025)	
Amount paid to Rajasthan University for an approved Research programme in the field of social sciences not connected with his business.	50,000
Compute his business profit for the previous year 2024-25	
(i) under old tax regime and (ii) under new tax regime.	

7.

Problem 11

Mr. Mahalingam furnishes the following particulars. Compute his income from business for the assessment year 2025-26 :

- Legal expenses to the extent of ₹ 5,000 represent the amount spent for curing the defect in the title of business asset and balance amount on acquiring the asset.
- Know-how was developed in a laboratory financed by the State Government.
- Actual bad debts amounted to ₹ 3,000 only.
- Advertisement expenditure was paid in cash.

Profit and Loss Account for the year ended March 31, 2025

Trade expenses	₹ 1,01,500	Gross Profit	₹ 5,00,000
Wages and Salaries	1,33,000	Refund of Income tax	22,150
Advertisement expenses	20,000	penalty levied earlier	
Income-tax	7,500		
Contribution to staff Welfare Fund	1,000		
Donation to Rural Development Fund (Approved)	2,000		
Life Insurance premium on own life	750		
Provision for doubtful debts	5,000		
Interest on Capital	3,550		
Provision for GST	9,000		
Expenditure on know how	18,000		
Gift to 20-customers	2,000		
Fire Insurance Premium	850		
Legal expenses	8,000		
Net Profit	2,10,000		
	5,22,150		5,22,150

Solution

8.

Following is the Profit & Loss A/c of Sh. Biren Mitra for the year ending 31st March 2025. You are required to ascertain his income from business for the year ended on that date :

To Salaries	₹ 1,60,800	By Gross Profit	₹ 6,35,672
To Sundry Expenses	51,200	By Discount	751
To Reserve for Bad debts	4,500	By Commission	1,205
To Insurance	10,450	By Sundry Receipts	52
To Advertising	52,500		
To Income-tax	2,375		
To Car Expenses	31,200		
To Interest on Capital	1,000		
To Interest on bank loan	11,550		
To Charity	150		
To Life Insurance Premium (self)	550		
To Depreciation			
on Building	1,000		
on Furniture	200		
	1,200		
To Difference in Trial Balance	105		
To Net Profit for the year	3,10,100		
	6,37,680		6,37,680

The motor car was used equally for business purposes and the proprietor's private purposes.

The amount of depreciation allowable according to Income-tax Rules, in respect of building and furniture was ₹ 800 and ₹ 150 respectively. Included in advertising expenses is a sum of ₹ 1,000 expended on a special campaign undertaken during the year in respect of a product of a company placed recently in the market. Salaries include ₹ 6,000 being the amount drawn by Sh. Biren Mitra during the year against profits.

9.

✓ The following is the Profit and Loss Account of Mr. X for the year ended on 31-3-2025. Compute his taxable income for the assessment year 2025-26.

	₹		₹
To Opening Stock	15,000	By Sales	80,000
To Purchases	40,000	By Closing Stock	20,000
To Wages	20,000	By Gift from father	18,000
To Rent	6,000	By Sale of Motor Car	9,000
To Repair to Motor Car	3,000	By Income tax Refund	3,000
To Interest on Capital	3,000		
To Medical Expenses	3,000		
To General Expenses	10,000		
To Depreciation on Motor Car	3,000		
To Advance Income Tax Paid	1,000		
To Profit for the year	26,000		
	<u>1,30,000</u>		<u>1,30,000</u>

Following further information is given :

- (1) Mr. X carries on his business from rented premises at Delhi half of which is used as his residence.
- (2) Mr. X bought a car during the year for ₹ 20,000. He charged depreciation on the value of car. The car was sold during the year for ₹ 9,000. The use of the car was 3/4th for the business and 1/4th for personal purposes.
- (3) Medical expenses were incurred during sickness of Mr. X for his treatment.
- (4) Wages include ₹ 250 per month on account of Mr. X's driver for 10 months.

[C.A.(Inter)]

10.

Mr. G.R. Sharma carries on his own business as chemist. For the year ending March 31, 2025, Trading/ Profit and Loss Account is given below :

	₹		₹
To Opening Stock	20,000	By Sales	1,27,000
To Purchases	1,09,000	By Closing Stock	52,000
To Salaries	6,000	By Interest on Debentures of Reliance Ltd	2,000
To Rent	11,000	By Bank Interest	2,000
To Bonus	3,000	By Discount Received	12,000
To Printing, Postage and Stationery	4,000	By Race Winnings	12,000
To Miscellaneous Expenses	4,000	By Amount received from LIC on maturity of policy	45,000
To Advertisement Expenses	5,000		
To Drawings	12,000		
To LIC Premium	5,000		
To Car Expenses—Driver's Salary	6,000		
To Petrol and Repairs of Car	12,000		
To Property Tax	4,000		
To medical expenses of physically handicapped son at Holy Family Hospital	3,000		
To Cost of National Savings Certificates (Series VIII)	3,000		
To Net Profit	45,000		
	<u>2,52,000</u>		<u>2,52,000</u>

Additional information is as follows :

Advertisement expenses included cost of 20 Gift sets of ₹ 250 each presented to doctors on occasion of Dewali.

Assume :

Taxes deducted at source on Debentures are 'NIL'.

The car was used both for business and personal purposes, 2/3rd is for business.

Property Tax of ₹ 4,000 was in respect of his self-occupied house whose Rental value is ₹ 18,000.

Compute the business income of Mr. Sharma for the assessment year 2025-26.

11.

From the Profit and Loss account of Mr. Ramanathan for the year ending 31-3-2025. Compute his business income.

	₹		₹
General expenses	63,400	Gross Profit	2,65,500
Bad debts	22,000	Commission	18,600
Provision for bad debts	21,000	Brokerage	27,000
Insurance (House)	600	Sundry receipts	22,500
Salary to Staff	36,000	Bad debts recovered (earlier disallowed as deduction)	1,000
Salary to Ramanathan	22,000	Interest on deposit with a Trust	15,000
Interest on loan (Bank overdraft)	62,000	Interest on units of U.T.I.	13,000
Interest on loan taken from Mrs. Ramanathan	4,000	House Property	12,000
Interest on capital of Ramanathan	13,000		
Depreciation on building	60,000		
Advertisement expenditure	8,000		
Contribution of employees RPF	12,000		
Net Profit	50,600		
	<u>3,74,600</u>		<u>3,74,600</u>

Other Informations :

- The amount of depreciation allowable on building is ₹ 40,200 as per Income-tax Rules.
- Advertisement expenditure includes ₹ 5,000 being cost of advertisement in newspaper.
- Income of ₹ 10,000 accrued during the year is not recorded in the Profit and Loss Account.
- Ramanathan pays ₹ 12,000 as premium on own life insurance policy of ₹ 90,000.
- General expenses includes ₹ 4,500 given to Mrs. Ramanathan for arranging a party in honour of a friend.
- Employer's contribution to provident fund for last 2 months @ ₹ 1,000 p.m. has not been paid to appropriate authority within due date.

12.

Problem 21

G. Ganeshan has prepared the following Profit and Loss Account for the year ending March 31, 2025 :

	₹		₹
Salaries	8,000	Gross Profit	30,800
Advertisements	4,000	Rental income (50% portion)	18,000
Sundry expenses	4,500	Dividends from U.T.I.	4,000
Interest on capital	2,000	Winning from lottery (gross)	20,000
Fire Insurance (₹ 1,000 relates to house property)	3,000	Interest on tax-free Govt. securities	2,000
Income tax	7,000		
House hold expenses	2,500		
Bad Debts	1,000		
Provision of bad debts	500		
Repairs of house property	1,000		
Municipal taxes of house property	3,600		
Insurance premium on own life	6,000		
Donation to Prime Minister's Relief Fund	2,000		
Depreciation (allowable)	3,700		
Net profit	26,000		
	<u>74,800</u>		<u>74,800</u>

Ganeshan owns a house property which is being used by him for the following purposes :

- 25% of the carpet area for his own business purpose.
 - 25% of the carpet area for the purpose of residence.
 - 50% of the carpet area is let out for residential purposes.
- Compute the business profit of Ganeshan for the assessment year 2025-26.

13.

Following are the details of income from the books of M/s Kartik Traders owned by Mr. Sharma for the year 2024-25 :

Profit & Loss Account			
	₹		₹
To Opening Stock	72,000	By Sales	12,00,000
To Purchases	8,00,000	By Closing Stock	81,000
To Wages	30,000		
To Carriage & Freight	40,000		
To G.P. c/d	3,39,000		
	<u>12,81,000</u>		<u>12,81,000</u>
To Staff Salaries	90,000	By G.P. b/d	3,39,000
To Rent & Taxes	20,000	By Life policy amount	5,000
To Advertisement	20,000	By Sale of old machinery	2,000
To Audit Fee	20,000	By Interest	4,000
To Donations	10,000		
To Income-Tax	10,000		
To Reserve for Bad Debts	10,000		

To Depreciation	10,000
To GST	10,000
To Printing & Stationery	20,000
To Contribution to Staff Welfare Fund	10,000
To Patents Purchased	90,000
To Interest on Capital	10,000
To Net Profit c/d	20,000
	<u>3,50,000</u>
	<u>3,50,000</u>

Additional information :

1. The Opening stock has been valued at cost minus 10% basis, but not the closing stock.
2. Purchase include a payment for ₹ 30,000 by a bearer cheque to a supplier.
3. Depreciation allowable as per I.T. rules for the year was ₹ 8,000.
4. Freight includes Railway Demurrage ₹ 2,000 and railway penalty ₹ 5,000.
5. Advertisement includes expenses on 30 gift articles given to select customers at a cost of ₹ 300 each.
6. Entertainment expenses of ₹ 8,000 spent during the year have not been debited.
7. He has carried forward the Business loss of ₹ 6,000, from the earlier assessments.

Compute his net business income for the assessment year 2025-26.

14.

PROFIT & LOSS ACCOUNT (Sole Proprietor)			
	₹		₹
Salary to staff	6,10,000	Gross Profit	25,65,600
Advertisement expenses paid in cash	28,000	Sundry receipts	26,000
Office expenses	1,06,000	Custom duty recovered (not allowed as deduction earlier)	12,000
Rent and repairs	84,000	Interest on Bank deposits	1,08,000
Legal expenses for filing income tax appeal	16,000	Profit of sale of import licence	65,000
Bad debts	42,000	Gift from father	18,000
Depreciation	2,10,000	Profit on sale of shares	80,000
Reserve for bad and doubtful debts	18,000	Bad debts recovered	16,000
Interest on bank loans	78,000		
Donation to a political party	10,000		
Commission	22,000		
Interest on own capital	14,000		
Household expenses	36,000		
Income tax for 2023-24	15,000		
GST	36,000		
GST penalty	12,000		
Entertainment expenses	20,000		
Extension of business premises	2,00,000		
Net Profit	13,33,600		
	<u>28,90,600</u>		<u>28,90,600</u>

PROFIT & LOSS ACCOUNT (Sole Proprietor)			
	₹		₹
Salary to staff	6,10,000	Gross Profit	25,65,600
Advertisement expenses paid in cash	28,000	Sundry receipts	26,000
Office expenses	1,06,000	Custom duty recovered (not allowed as deduction earlier)	12,000
Rent and repairs	84,000	Interest on Bank deposits	1,08,000
Legal expenses for filing income tax appeal	16,000	Profit of sale of import licence	65,000
Bad debts	42,000	Gift from father	18,000
Depreciation	2,10,000	Profit on sale of shares	80,000
Reserve for bad and doubtful debts	18,000	Bad debts recovered	16,000
Interest on bank loans	78,000		
Donation to a political party	10,000		
Commission	22,000		
Interest on own capital	14,000		
Household expenses	36,000		
Income tax for 2023-24	15,000		
GST	36,000		
GST penalty	12,000		
Entertainment expenses	20,000		
Extension of business premises	2,00,000		
Net Profit	13,33,600		
	<u>28,90,600</u>		<u>28,90,600</u>

Other additional informations are :

1. Salary to staff includes salary paid to a relative employee which is unreachable upto ₹ 10,000.
2. Office expenses include a payment of ₹ 16,000 given to notified university for carrying on research.
3. Salary to staff includes a payment of pension of ₹ 8,400 to a widow of a former employee.
4. Office expenses include a gift of ₹ 2,000 given to a sales tax officer on Dewali.
5. Depreciation includes depreciation of personal car of manager ₹ 24,000.
6. Entertainment expenses include expenses incurred in a five-star hotel for entertaining a customer.
7. Interest on bank loans includes interest on loan taken to buy a personal car ₹ 20,000.
8. Bad debts of ₹ 5,000 allowed in the year 2022-23 were recovered during the year but were not recorded.

Determine business income for the assessment year 2025-26 under old tax regime.

15.

✓ From the following Profit and Loss A/c for the year ending 31-3-2025. Compute Business Income of Mr. Shobit under new tax regime.

	₹		₹
To Opening stock	25,00,000	By Sales (Including GST)	1,55,00,000
To Purchases	94,00,000	By Closing stock	20,00,000
To Gross profit C/d	56,00,000		
	<u>1,75,00,000</u>		<u>1,75,00,000</u>
To Salaries and wages	5,00,000	By Gross profit b/d	56,00,000
To Rent	1,20,000	By Interest from debtors	10,500
To Advertisement	3,00,000	By Bad debt recovered	20,000
To Travelling Expenses	2,00,000	(not allowed as deduction earlier)	
To Bad debts	52,000	By Refund of Income Tax	10,000
To General Expenses	3,00,000	By Interest on Income tax Refund	1,500
To Franchises purchases	3,00,000		
To Addition to office building	3,00,000		
To GST paid	2,50,000		
To Income tax paid	1,50,000		
To Net profit	31,70,000		
	<u>56,42,000</u>		<u>56,42,000</u>

Additional Information :

- Both opening and closing stock are under valued by 20% of cost. Stock taking at the end revealed a theft of goods amounting to ₹ 20,000.
- Franchises were purchases on 1-08-2024 and were put to use on 1-11-2024.
- Advertisement Expenditure includes cost of neon sign boards installed at various places in the cities amounting to ₹ 1,00,000.
- On 1-4-2024, the W.D.V. of office building is ₹ 50,00,000. The Expenditure on addition to office building includes ₹ 50,000 in respect of furnishing of the meeting hall.
- GST of ₹ 30,000 for P.Y. 2023-24 was paid on 15-1-2025 but not included in the above profit and loss A/c.
- Bad debt recovered ₹ 20,000 during the previous year in respect of past bad debt of a discontinued business and have not been included in above P&L A/c. The amount was claimed as deduction as bad debt in the past.
- General Expenses include ₹ 20,000 on account of donation to National Urban Poverty Eradication Fund and ₹ 10,000 to National Defence Fund.